

Meeting Name:	Cabinet
Date:	6 January 2026
Report title:	The Council Tax Base for 2026-27
Cabinet Member:	Councillor Stephanie Cryan, Equalities, Democracy and Finance
Ward(s) or groups affected:	All wards
Classification:	Open
Reason for lateness (if applicable):	N/a

FOREWORD - COUNCILLOR STEPHANIE CRYAN CABINET, MEMBER FOR EQUALITIES, DEMOCRACY AND FINANCE

This report seeks cabinet approval for the proposed Council Tax Base and the assumed collection rate for the financial year 2026-27.

I am recommending a revised Council Tax base of 111,464.6 Band D equivalent dwellings, representing a decrease of approximately 892 dwellings from the 2025-26 figure of 112,357. This adjustment reflects updated projections and demographic changes within the borough.

The Council Tax collection rate for 2025-26 was reduced from 97.2% to 96.5%, in response to ongoing economic pressures. Given the continued challenges in collection and the prevailing uncertainty in the economic environment we recommend maintaining the collection rate assumption at 96.5% for 2026-27.

Premiums

I am pleased to confirm a continuation of the discretionary council tax premiums, which serve both as a revenue raising measure and as a deterrent against properties being left vacant. The premiums are applied below:

- 100% for second homes;
- 100% for those dwellings empty for 1 year and less than 5 years;
- 200% for dwellings empty for at least 5 years but less than 10 years; and
- 300% premium for dwellings empty for at least 10 years.

Council Tax Reduction Scheme and Exemptions

I reaffirm our commitment to supporting residents experiencing financial hardship through the ongoing provision of the Council Tax Reduction Scheme. In addition, Southwark will continue to offer Council Tax exemption for: Young people leaving care; and Southwark Foster carers.

These exemptions are vital in supporting care leavers as they transition to independent living and recognising the invaluable contribution of foster carers in our

community.

RECOMMENDATIONS

Recommendations for the Cabinet

1. To approve the council tax base for the year 2026-27 as 111,464.6 (112,357 in 2025-26) band D equivalent dwellings (Appendix A).
2. To approve the council tax collection rate for the year 2026-27 as 96.50% (96.50% in 2025-26).
3. To approve the proposed continuation of the
 - Council Tax discounts, exemptions and premiums as summarised in paragraph 8
 - Discretionary relief as per section 13A(1)(c) of the Local Government Finance Act 1992 summarised in paragraph 9 and
 - Council Tax reduction scheme administered under section 13A(1)(a) of the Local Government Finance Act 1992.
4. Delegate authority to the strategic director of resources in consultation with the cabinet member for equalities, democracy and finance and monitoring officer for any minor and consequential amendments to the Council Tax Reduction Scheme policy.

BACKGROUND INFORMATION

5. The Council Tax Base is calculated in accordance with a nationally prescribed formula and represents the equivalent number of Band D properties within the area.
6. The Council Tax Base must be determined and notified to the Greater London Authority (GLA) and other levying and precepting bodies. As in the past, these notifications must be made by 31 January.
7. A further report will be presented to council assembly in February 2026 setting out the level of council tax needed to meet the council's net expenditure for the financial year 2026-27.

KEY ISSUES FOR CONSIDERATION

Council tax discounts, exemptions and premiums

8. All council tax discounts, exemptions and premiums from 2025-26 remain unchanged for 2026-27 and are summarised in table on next page.

Type of Council Tax Discounts, Exemptions and Premiums	Discount / Premium
Single person discount	-25%
All except one person in household disregarded	-25%
All persons in household disregarded	-50%
Empty dwelling for greater than 1 year and less than 5 years	+100%
Dwellings empty for at least 5 years but less than 10 years	+200%
Dwellings empty for at least 10 years - continuing premium	+300%
Second home premium	+100%

Southwark council tax section 13A(1)(c) – discretionary relief

9. There is no change in 2026-27 to the council's section 13A policy, which continues with the initiative to include council tax discretionary relief for young people leaving Southwark council's care aged 18 to 24 years, who are liable for council tax. Foster carers are able to claim discretionary relief.

Council tax reduction scheme section 13A(1)(a)

10. There is no change in the council tax reduction scheme which is means-tested support for residents on low incomes.
11. Current estimates show that for 2026-27 this will reduce the overall council tax base by 16,580.4 (16,511 in 2025-26) properties before adjustment for the collection rate (Appendix A).

Collection Rate

12. The Strategic Director of Resources recommends maintaining the Council Tax collection rate at 96.5% for 2026-27. This figure takes into consideration the likely yield from Council Tax demands issued in April 2026, based on collection performance in previous years and the current year to date.

Growth

13. While a marginal increase is projected in number of properties, this is counterbalanced by a rise in discounts and exemptions, resulting in a net reduction in the base of 0.80%.

Calculation of the council tax base

14. Calculation of the council tax ("the tax") is governed by the Local Government Finance Act 1992 ('the Act') and various regulations thereunder. Section 31B of the Act requires the basic (band D) tax to be calculated by applying the formula: the council tax requirement divided by the council's tax base.
15. The tax base calculation is subject to the Local Authorities (Calculation of

Council Tax Base) (England) Regulations 2012.

16. The formula takes account of the
- a) Number of properties in each band,
 - b) Discounts given for single occupiers and students,
 - c) Premiums charged on empty dwellings and second homes,
 - d) Other eligible criteria,
 - e) The prescribed proportions (see paragraph 18) to convert numbers to Band D equivalents,
 - f) Local Council Tax Reduction scheme,
 - g) Anticipated developments that may occur during the year, and
 - h) The estimated collection rate.
17. The result of this calculation for each band is then scaled to a Band D equivalent to the ratios laid down in Section 5 of the 1992 Act as summarised below:

Band	Proportion (ninths)
A	6/9
B	7/9
C	8/9
D	9/9
E	11/9
F	13/9
G	15/9
H	18/9

18. There is an additional band -A (5/9 of band D). This only arises where a person in a band A property receives a band reduction through disability related relief (Appendix A).
19. The calculation of the tax base is summarised below (Appendix A):

Total Band D equivalent	115,507.4
Tax base collection rate	96.5%
2026-27 council tax base	111,464.6

Revenue budget implications 2026-27

20. The proposed council tax base for 2026/27 is 111,464.6 and will form part of the overall calculation of the Council's budget and determines the Council Tax income available to fund the Council's services.

Climate change implications

21. There are no implications for climate change from the recommendations arising from this report.

Consultation

22. Calculation of the council tax base forms an integral part of the revenue budget setting process for 2026-27. The budget is supported by the council's Medium Term Financial Strategy as agreed by cabinet.

Community, equalities (including socio-economic) and health impacts

23. This report contains technical calculations relating to the council's tax base for 2026-27. There are no direct community, equalities (including socio-economic) and health impacts arising from this decision. As regards the continuing provision of the CTRS and the section 13A discretionary relief, there are positive impacts on individuals with protected characteristics including age and disability and a positive socio-economic impact given the assistance being provided to more vulnerable people.
24. The impact on the community of any potential change in service design, outcomes or access arising from recommendations relating to the 2026-27 revenue budget will need to be addressed and identified as part of the final budget submission to council assembly in February 2026.

SUPPLEMENTARY ADVICE FROM OTHER OFFICERS

Assistant Chief Executive (Governance and Assurance) (NBC 20251210)

25. Decisions relating to the setting of the council tax base are reserved to cabinet under part 3B of the council's constitution.
26. The legal basis for the setting of the council tax base is found under section 31B of the Act which imposes a duty on a billing authority to calculate its council tax by applying a formula laid down in that section. This relies on calculating a figure for the council tax base for the year which is formulated with reference to The Local Authority (Calculation of Council Tax Base) (England) Regulations 2012. The report sets out this calculation for decision by cabinet.
27. As stated under the Levelling Up and Regeneration Act 2023, billing authorities were given the discretion to charge additional council tax of up to 100% on furnished homes not used as a sole or main residence (Public Notice 7th March 2024 [News 1675 - FINAL.indd](#)). A billing authority's first determination under this section must be made at least one year before the beginning of the financial year to which it relates. In exercising this function, a billing authority must have regard to any guidance issued by the Secretary of State.
28. Where a billing authority decides under this section it must publish a notice of the determination in at least one newspaper circulating in the area. This notice must be published before the end of the period of 21 days beginning with the date of the determination; this has been done.
29. On 23 January 2013 council assembly adopted the CTRS written policy which had been developed by officers. At the same meeting the council also

approved that decision-making on any minor and consequential amendments to the CTRS written policy be delegated to the Strategic Director of Finance and Corporate Services [now the Strategic Director of Resources] in consultation with the monitoring officer. The council is required to consider annually whether to amend the scheme. This report indicates that no such amendments are being recommended this year.

30. The council has the power under s13A(1)(c) of the Act to reduce council tax to such extent as it thinks fit, in addition to any CTRS. The power to do this is an executive function which the cabinet determines in accordance with its responsibilities for the council's financial management under Part 3B of the council's constitution. This report sets out the ongoing additional council tax reductions being agreed under these provisions.
31. A number of discounts and exemptions are identified in the report. Provision is made for these in sections 11- 11C of the Act. Some of these are statutorily imposed as indicated. Where there is local discretion in accordance with the table in paragraph 10 the approval has to be made by council assembly in accordance with section 67 of the Act. This report recommends the continuing application of the same discounts and exemptions as are currently applied.
32. Cabinet is reminded that the council is subject to the public sector equality duty in section 149 Equality Act 2010, and attention is drawn to the community impact section of the report in this regard.
33. The duty requires the council, in the exercise of all its functions, to have due regard to the need to:
 - (a) eliminate discrimination, harassment, victimisation and any other conduct that is prohibited by or under this Act;
 - (b) advance equality of opportunity between persons who share a relevant protected characteristic and persons who do not share it;
 - (c) foster good relations between persons who share a relevant protected characteristic and persons who do not share it.The duty is a continuing one. Consideration of the points made in the community impact section assists the cabinet and the council in complying with this duty.
34. Members are reminded that Section 106 of the Local Government Finance Act 1992 ("the Act") places restrictions on the ability of members in arrears of council tax to vote in meetings on certain financial matters.
35. Where a member has at least two months' arrears of council tax, and they are present at a meeting in which any of the following matters is being considered:
 - Any calculation relating to next year's council tax; or
 - Any recommendation, resolution or other decision which might affect the making at any such calculation [which includes the decisions being made by cabinet at this meeting] or
 - Decisions relating to the administration of council tax

the member affected must declare that section 106 of the Act applies and they shall not vote on any question relating to the matter. The member may remain in the meeting and may speak, but he or she may not vote on the matter. For executive functions, no member of the executive to whom this applies shall take any action or discharge any function with respect to the matter.

BACKGROUND DOCUMENTS

Background Papers	Held At	Contact
None		

APPENDICES

No.	Title
Appendix A (i)	Consolidated Council tax base for 2026-27 for all wards
Appendix A (ii)	Council tax base for 2026-27 Southwark, St Mary and St Saviour

AUDIT TRAIL

Lead Officer	Clive Palfreyman, Strategic Director of Resources	
Report Authors	Hasina Shah, Interim Chief Accountant, Resources	
Version	Final	
Dated	15 December 2025	
Key Decision?	Yes	
CONSULTATION WITH OTHER OFFICERS / DIRECTORATES / CABINET MEMBER		
Officer Title	Comments Sought	Comments Included
Assistant Chief Executive (Governance and Assurance)	Yes	Yes
Strategic Director of Resources	Yes	Yes
Cabinet Member	Yes	Yes
Date final report sent to Constitutional Team		15 December 2025